

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA, AN)
OKLAHOMA CORPORATION, FOR) CASE NO. PUD2025-000075
AN ADJUSTMENT IN ITS RATES AND)
CHARGES AND THE ELECTRIC)
SERVICE RULES, REGULATIONS AND)
CONDITIONS OF SERVICE FOR)
ELECTRIC SERVICE IN THE STATE)
OF OKLAHOMA AND TO APPROVE)
VARIOUS COST RECOVERY)
MECHANISMS AND TARIFFS)

HEARING: June 29, 30, and July 1, 2 and 7, 2026, in Concourse Theater, Suite C50
(live and virtual teleconference)
Will Rogers Memorial Office Building
2401 North Lincoln Boulevard, Oklahoma City, Oklahoma 73105
Before Kenneth B. Behrens, Administrative Law Judge

APPEARANCES: Jack P. Fite and Kenneth A. Tillotson, Attorneys *representing* Public
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Oklahoma
Adam J. Singer, Attorney *representing* AARP
Rick D. Chamberlain, Attorney *representing* Walmart Inc.
James A. Roth, Lindsey Pever, Niles Stuck and Cole Peters, Attorneys
representing Google LLC
John Joseph McNutt, Attorney *representing* United States Department of
Defense and all other Federal Executive Agencies
Kenneth E. Wagner, Nikhil Vijaykar and Gonzalo E. Rodriguez,
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REPORT AND RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE

This Case comes before the Corporation Commission (“Commission”) of the State of Oklahoma on the Application of Public Service Company of Oklahoma (“PSO”) for an

adjustment in its rates and charges and the electric service rules, regulations and conditions of service for electric service in the State of Oklahoma and to approve various cost recovery mechanisms and tariffs (“Application”).

Upon thorough review of the Application, live and pre-filed testimony, and Statements of Position, the undersigned Administrative Law Judge (“ALJ”) respectfully submits this Report and Recommendation of the Administrative Law Judge (“ALJ Report”) to the Commission. The ALJ’s recommended Findings of Fact and Conclusions of Law are set forth herein.

I. RECOMMENDATION

The ALJ recommends the Commission adopt and approve all aspects of the Revenue Requirement Joint Stipulation and Settlement Agreement, attached hereto as Attachment “A”, except for provision 1(k) related to the 12 CP allocation method. All provisions of the Joint Stipulation are fair, just, reasonable, and in the public interest except for provision 1(k). The ALJ recommends the Commission require PSO to continue to employ the 4CP allocation method as discussed below because it is fair, just, reasonable, and in the public interest.

The ALJ further recommends the Commission adopt and approve all aspects of the Large Load Joint Stipulation and Settlement Agreement, attached hereto as Attachment “B”, as it is fair, just, reasonable, and in the public interest.

II. JURISDICTION AND NOTICE

A. Jurisdiction.

PSO is an Oklahoma corporation authorized to do business in the State of Oklahoma. The Commission finds that PSO is a public utility with plant, property, and other assets dedicated to generation, transmission, distribution, and the sale of electric power and energy within the State of Oklahoma. This Commission has jurisdiction over this Case by virtue of the provisions of Article IX, Section 18 of the Constitution of the State of Oklahoma and 17 O.S. §§ 151, *et seq.*

B. Notice.

Due and proper notice of these proceedings was given as required by Order No. 754614.

III. PROCEDURAL HISTORY

On November 17, 2025, pursuant to OAC 165:70-3-7, PSO filed its Notice of Intent, giving notice to the Oklahoma Corporation Commission of its intent to file an Application seeking to modify the rates and charges for PSO’s Oklahoma jurisdiction customers, to amend PSO’s Electric Service Rules, Regulations and Conditions of Service, and to request various

cost recovery mechanisms. PSO filed its Application on January 2, 2026. The procedural history is incorporated herein and attached hereto as Attachment “D”.

IV. MOTION TO DETERMINE STATUS OF “PRO SE INTERVENORS”

PSO filed its Motion to Determine Status of “Pro Se Intervenor” on May 28, 2026. Following a hearing on June 4, 2026, the ALJ issued a written Report and Recommendation on June 5, 2026, recommending intervenor status be denied.

V. OBJECTION TO FILING OF BRIEF OF AMICUS CURIAE OKLAHOMA GAS & ELECTRIC COMPANY AND REQUEST THAT THE COMMISSION STRIKE OR DISREGARD THE FILING

Google, LLC. (“Google”), Petroleum Alliance of Oklahoma (“PAO”), and Public Utility Division (“PUD”) filed an objection to Oklahoma Gas & Electric Company’s (OG&E) Brief of Amicus Curiae. Following a hearing, the ALJ recommended the Amicus Brief be considered public comment because OG&E is not a party to this case. The ALJ further recommended that since the filing should be considered public comment, it should not be stricken.

VI. SUMMARY OF THE EVIDENCE

Documents filed in this Case are contained in the records maintained by the Court Clerk of the Commission. Testimony was offered through written pre-filed testimony (direct, responsive, and rebuttal), along with certain oral testimony at the Hearing. The entirety of the live testimony and arguments offered are contained in the transcripts of these proceedings. Pre-filed testimony in support of and in opposition to the Joint Stipulations and Settlement Agreements are attached hereto as Attachment “C” and is incorporated herein by reference.

Any and all confidential filings and exhibits that were admitted into the record at the Hearing are contained in the records maintained by the Court Clerk of the Commission and incorporated herein. Though confidential in nature and unavailable to the public, all filings and exhibits admitted into the record have been reviewed and relied upon by the ALJ.

VII. ANALYSIS

At the Hearing on the Merits in this matter, the parties presented evidence in two phases. The first phase involved evidence relating to the revenue requirement sought by PSO. The second phase involved evidence relating to the large load tariff proposed by PSO in this matter. These matters will be addressed separately in this Report.

A. Revenue Requirement

PSO, PUD, Oklahoma Attorney General (“OAG”), AARP (“AARP”), and PAO (“stipulating parties”) entered into a Joint Stipulation and Settlement Agreement involving PSO’s revenue requirement. PAO did not stipulate to the change in transmission allocator. Walmart, Inc. (“Walmart”), the Department of Defense and Federal Executive Agencies

(“DOD/FEA”), and Oklahoma Industrial Energy Consumers (“OIEC”) (collectively, “non-stipulating parties”) oppose the Joint Stipulation. Google and the Data Center Coalition (“DCC”) did not join, but do not oppose the Joint Stipulation.

The terms of the Joint Stipulation and Settlement Agreement are as follows:

(a) The Stipulating Parties agree that the Commission should find a base rate revenue deficiency of \$447.1 million on a gross basis (representing a 39% base rate change), based upon a return on equity of 9.375%, a capital structure of 50.15% debt/49.85% equity (long term debt rate of 4.72%), and weighted average cost of capital (“WACC”) of 7.04%, grossed up for taxes of 8.57%. The base rate revenue deficiency is subject to the offsets described in paragraph 1(b) below, resulting in a net revenue deficiency of \$72.7 million and an estimated total bill change of approximately 5%.

(b) The Stipulating Parties agree on the following components of the revenue deficiency:

PSO Filed Rebuttal Revenue Deficiency	\$ 606.9		Base Rate Change	54%
Settlement Terms				
Rate Base Items				
Cash Working Capital	\$ 0.4			
Weighted Average Cost of Capital				
◆ROE	\$ (39.3)			
Expenses/Revenue Items				
Incentive Expense	\$ (7.4)			
Storm Amortization	\$ (22.8)			
Annual Storm Increase	\$ (37.2)			
Income Taxes	\$ (12.5)			
Factoring	\$ (0.1)			
Factoring on Rev Deficiency	\$ (1.1)			
Depreciation & Amortization Expense	\$ (32.3)			
Payroll Tax Expense	\$ (0.6)			
Payroll Normalization	\$ (1.6)			
AEPSA Adjustment (Incl. Payroll)	\$ (2.1)			
PBA Deferral Amortization to three years	\$ (2.3)			
Chamber of Commerce Dues	\$ (0.1)			
Pension Expense (SERP & Pension Settlement)	\$ (0.8)			
PSO Proposed Settlement Revenue Deficiency - Gross	\$ 447.1		Base Rate Change	39%
Offsets (Rolled in Riders)	\$ (236.7)			
Offsets (New PTC's)	\$ (32.3)			
PTCs Realized in FAC	\$ (29.5)			
Deferred Tax Liabilities Offset (Tax Change Rider)	\$ (76.0)			
PSO Proposed Settlement Revenue Deficiency - Net	\$ 72.7		Total Bill Change	5%

The Stipulating Parties agree the payroll items listed above remove the post six-month payroll adjustments, severance expense, pension settlement amortization, and SERP. PSO's requested pension settlement regulatory asset will not be established. Offsets reflected above include amounts rolled into existing riders, new production tax credits ("PTC"), PTCs realized in the fuel adjustment clause, and deferred tax liabilities credited through PSO's Tax Change Rider. The Performance Based Accreditation ("PBA") deferral shall be amortized over a three-year period.

- (c) The Stipulating Parties agree PSO's current Deferred Tax Liabilities related to tax repairs be credited to customers over a two-year period through PSO's Tax Change Rider. PSO shall be authorized to establish a regulatory asset ("DTL Regulatory Asset") in the amount necessary to provide the Tax Change Rider credits over the two-year period. PSO will amortize the DTL Regulatory Asset over the life of the underlying plant for which the deferred tax liabilities were established and recover the amortization expense through the Tax Change Rider. The DTL Regulatory Asset will earn a return at PSO's authorized after-tax WACC as an offset to base rate DTLs.
- (d) The Stipulating Parties agree the trim cycle vegetation management should be approved consistent with Company Witness Devereux THD-R Figure 3: \$27M in base rates consistent with PSO's application, \$13M eligible for deferral through a regulatory asset for the first year of implemented rates, and \$4M eligible for deferral through a regulatory asset for each year thereafter until PSO's next rate case.
- (e) The Stipulating Parties agree the Southwest Power Pool Transmission Cost Rider recommendation should be approved as proposed by PSO. PSO agrees to update class allocators annually. PSO also agrees that PUD and other parties retain the right to advocate different positions in future base rate cases.
- (f) The Stipulating Parties agree that the GEAR Rider shall sunset on December 31, 2029, and the rider shall be capped at \$6M annual recovery going forward. PSO may request additional GEAR Rider recovery in PSO's next rate case.
- (g) The Stipulating Parties agree the Renewable Resources Rider sunset shall be extended as proposed by PSO to accommodate the Algodon facility in-service date.
- (h) The Stipulating Parties agree the second Net Operating Loss Carryforward ("NOLC") IRS Private Letter Ruling ("PLR") is still pending. Therefore, the parties agree that the Commission will continue to treat the NOLC as ordered in Case No. PUD 2024-000032 and the AG, PUD, and other parties retain the right to advocate for a different NOLC calculation methodology in future base rate cases pending receipt of the Second IRS PLR.
- (i) The Stipulating Parties agree PSO's proposed Curtailable Service Tariffs ("CSTs") shall be approved.
- (j) The Stipulating Parties agree that PSO's proposed modification to the semi-annual redetermination dates in the Fuel Cost Adjustment Rider will be updated, shifting from May and November to February and August.
- (k) The Stipulating Parties, with the exception of The Petroleum Alliance of Oklahoma, agree that PSO's proposed 12 CP transmission cost allocation, 85%

energy/15% demand allocation for wind facilities, and 38% energy/62% demand allocation for solar facilities should be approved.

- (m) The Stipulating Parties agree that all uncontested tariff changes proposed by PSO shall be considered approved.
- (n) The Stipulating Parties agree PSO's proposed Large Power and Light ("LPL") and Large Load Power ("LLP") tariffs filed in Rebuttal Testimony shall be an open issue to be finalized at hearing.

In addition, the Stipulating Parties agreed to the following requirements for the Curtailable Service Tariffs ("CST"):

- 1) CST Demand Credits - if the value of either the SPP's Cost of New Entry or estimated transmission savings changes by 25% or more before the next base rate case, PSO will modify the CST tariffs accordingly in its next base rate case.
- 2) Non-Compliance Penalties - any penalties paid for failing to curtail should be returned to customers through the FAC. If PSO cancels a customer's eligibility for curtailable service, any curtailable power credits that PSO deems forfeit and any assessed termination payments be returned to customers through the FAC.
- 3) Tracking - PSO will track costs and revenues, including any avoided energy costs, and include an analysis and supporting documentation in PSO's next base rate case filing to illustrate that the program is cost effective, is not subsidized by other rate classes, and is beneficial to other PSO customers.
- 4) Annual Report - PSO will submit an annual report detailing enrollment by tariff, enrolled curtailable kW, number of curtailments, whether notification was adequate, and customer performance.

The parties in opposition to the Joint Stipulation and Settlement Agreement disagree specifically with paragraphs 1(d), 1(e), 1(f), 1(h), and 1(k). The ALJ will address each of those separately.

Paragraph 1(d) deals with PSO's vegetation management costs. PSO sought in its application to have a rider approved in order to collect vegetation management costs over a five (5) year period.¹ As part of the stipulation, PSO and the other parties agreed that PSO would not receive a rider but would be allowed to defer costs over and above the amount included in base rates into a regulatory asset until the next base rate case.² OIEC, DOD/FEA, and Walmart oppose the vegetation management provision because they believe the additional costs PSO is incurring related to vegetation management are due to its failure to follow its own Vegetation Management Plan.³

The ALJ recommends that the terms of Paragraph 1(d) be approved by the Commission. The use of a regulatory asset is an appropriate mechanism to allow PSO to track any additional

¹ Matejcic Responsive Testimony, Entry No. 142, pp. 9:2-15:20; Khalili, 7/1/26 Tr., p. 122:32-123:14; 135:11-136:21.

² Id.

³ Matejcic Responsive Testimony, Entry No. 142, pp. 9:2-10:14; M. Garrett Responsive Testimony, Entry No. 139, pp. 60:17-62:8

costs over those allowed in base rates but still allows for review of those costs during the next general rate case. The ALJ does not find that PSO has acted imprudently in incurring these costs. Further, the \$27 million amount is supported by the evidence in this case.

Paragraph 1(e) expands the SPPTC Rider to include all affiliate SPP transmission charges. The non-stipulating parties oppose this provision on the grounds that the affiliate costs are projections and are therefore speculative.⁴ It is also contended that this process deviates from traditional treatment of affiliate transactions.⁵

The ALJ recommends the provisions of paragraph 1(e) be approved by the Commission. These charges are set and assessed by the SPP and are beyond the control of PSO. These charges can be reviewed for prudence during the next general rate case.

Paragraph 1(f) extends the sunset provisions of PSO's Grid Enhancement and Resiliency ("GEAR") Rider from July 1, 2027, to December 31, 2029. It also caps the rider recovery at \$6 million annually. PSO argues this extension is necessary to continue inspections and upgrades to its grid.⁶ The non-stipulating parties counter that PSO has failed to show that these actions are necessary to improve service to customers or are the most cost-effective methods.⁷

The ALJ recommends the provisions of paragraph 1(f) be approved by the Commission. This provision maintains a sunset date for the GEAR Rider and maintains the cap of \$6 million. This rider, and all riders, can be reevaluated in the next general rate case. PSO has shown that this rider is necessary and that its extension is necessary to the reliable provision of electric service.

Paragraph 1(h) provides that the NOLC treatment ordered by the Commission in PUD2024-000032 shall continue during the pendency of the Commission's PLR request to the IRS. The non-stipulating parties argue that the Commission should use a different methodology for calculating the NOLC resulting in savings for ratepayers.⁸

The ALJ recommends that the provisions of paragraph 1(h) be approved by the Commission. The circumstances surrounding the NOLC have not changed since the Commission entered its order in PUD2024-000032; therefore, the treatment of the NOLC should remain the same until further guidance is provided by the IRS.

Finally, paragraph 1(k) provides that PSO should utilize a 12 CP transmission allocator, a blended 85% energy/15% demand allocator for all wind facilities, and a blended 38% energy/62% demand allocator for all solar facilities. The non-stipulating parties, and PAO, do not support the change from the long standing 4CP method. They argue that it will result in an unfair shift in transmission costs to commercial and industrial customers and will result in rate shock for those customers. They also argue that it does not accurately assign costs to the cost causers.

⁴ Norwood Testimony in Opposition to Stipulation, Entry No. 800, OCC p. 11:6-16; Matejcic Responsive Testimony, Entry No. 142, pp. 18-21; Chaplin Responsive Testimony, Entry No. 151, p. 8:12-13.

⁵ Id.

⁶ Devereux Rebuttal, Entry No. 509, OCC p. 17:11-20.

⁷ Norwood Testimony in Opposition to Stipulation, Entry No. 800, OCC p. 14:4-18.

⁸ M. Garrett Testimony in Opposition to Stipulation, Entry No. 804, pp. 14-1-15-21.

Of all the provision of the Joint Stipulation and Settlement Agreement opposed by the non-stipulating parties, the one that was most contested during the Hearing on the Merits, and arguably the one with the most immediate impact is the change to the 12CP transmission allocator. Testimony was presented showing that the change to a 12CP transmission allocator would result in \$2.45 increase to the average residential bill as opposed to a \$9.64 increase⁹ or a \$12.09 increase if the 4CP allocation method is maintained.¹⁰

Direct costs are easily assigned to the class that causes the cost. For example, the cost of residential meters is easily assigned to the residential class because the residential class is the only class using that type of meter. Transmission lines are used to provide electricity to all customer classes, so an allocator must be devised to assign transmission costs to the various customer classes. The purpose of any cost allocation method is to most accurately assign costs proportionally to customer classes based on each customer class's proportionate contribution to the costs. Stated another way, the goal of cost allocation is to most accurately assign costs to the cost causers.

The Joint Stipulation and Settlement Agreement proposes PSO move to a 12CP allocation method for transmission costs. Under this method, the system peak demand for each month in a 12-month period is captured, then each customer class's co-incident peak during that same period each month is averaged to provide an allocation factor. The stipulating parties argue that due to changing weather patterns and system use patterns, simply looking at co-incident peaks in each month of a four-month period does not accurately allocate costs or reflect system usage. It is also argued that the traditional 4CP methodology places an unfair burden on the residential class and favors the commercial and industrial classes. In support of their arguments, the stipulating parties point to the fact that SPP uses a 12CP allocation method to allocate transmission costs within its footprint. It is also argued that while transmission systems are sized to meet peak demand, they are also built for year-round reliability and resiliency.¹¹

Those opposed to the 12CP method argue that the 4CP method best reflects the characteristics of PSO's system and best allocates costs to the cost causers. They also argue that the 4CP method has been approved by the Commission for many years and an abrupt change now would cause financial harm to the commercial/industrial classes. It is also pointed out that the 12CP method has been repeatedly rejected by the Commission.

The prevailing testimony showed that transmission systems are designed to meet peak load, and that PSO is a summer peaking system, meaning that the system reaches its peak load during the summer months.¹² The evidence also showed the peak load during the rest of the year does not even come close to the summer peak.¹³ Since the system peak load is during the summer months, and since the system was built so that it can handle peak load, looking at the co-incident peak demand for each class during the four summer months and averaging those class peaks most

⁹ Settlement Testimony of Brice Betchan, pg. 15, ln 8 – pg. 16, ln. 6.

¹⁰ Tr. 7-1-26, pg. 216, ln. 24-25; pg. 217, ln. 1-2. and Tr. 7-2-26, pg. 54, ln. 19-25.

¹¹ Purvis testimony pg. 164, ln. 22 – pg. 166, ln. 8.

¹² Purvis testimony 7/1/26 Tr., pp. 166:3-8, 191:9-13. Khalili testimony 7/1/26 Tr., p. 143:18-20. McGovern Responsive Testimony, Entry No. 171, OCC p. 12:12-16. M. Garrett Testimony in Opposition to Stipulation, Entry No. 804, p. 20:20-21, 21:1-12

¹³ Blank testimony 7/1/26 Tr. p. 204:10-24.

accurately allocates costs to the cost causers on the transmission system. While the SPP and the Federal Energy Regulatory Commission (“FERC”) use 12CP for transmission cost allocation, that does not mean that the 12CP allocator is right for PSO. The SPP has a vast footprint far to the north of Oklahoma and deals with many utilities that may have different system characteristics than PSO. Likewise, the FERC is looking at a much broader area when determining allocators. This Commission is only focused on the State of Oklahoma and retail transmission charges. Since the purpose of an allocator is to apportion indirect costs to the rate classes as accurately as possible to match the cost causation, looking at the final outcome of an allocator on a particular rate class may be a factor, but should not be the only factor in determining an appropriate allocator. The Commission should always be open to reevaluating a long-used allocation method if there is a material change in circumstances that warrants the use of a different method. In this matter, the stipulating parties have failed to show a compelling reason to deviate from the 4CP method of transmission allocation. As always, this is a matter that will be reviewed in the next general rate case and if more compelling evidence is presented, the Commission has the ability to make an allocation change at that time.

The same logic applies to the use of a blended allocator for wind and solar. While a blended allocator was approved by the Commission in limited circumstances, the evidence presented in this case does not support an across the board move away from the 4CP allocator for wind and solar facilities. This is a matter that should be studied further and presented in PSO’s next general rate case.

The ALJ recommends the provisions of paragraph of 1(k) be disallowed. There is a lack of evidence in the record at this time to support the allocation change suggested. The ALJ recommends that PSO continue to use the 4CP(A&E) allocator for transmission costs, as well as renewables.

In summary, the ALJ recommends the Commission approve all aspects of the Joint Stipulation and Settlement Agreement, except for provision 1(k) related to the transmission and renewables allocator. Aside from the provisions of paragraph 1(k), the agreement is fair, just and reasonable, and in the public interest.

B. Large Load Tariff

Google, PUD and PAO submitted a Joint Stipulation and Settlement Agreement (“Large Load Joint Stipulation”) addressing the Large Load Service (“LLS”) Tariff and self-supply/Bring-Your-Own-New-Generation (“BYONG”) issues. The OAG was originally a signor to the Large Load Joint Stipulation but later withdrew. The DCC filed a concurrence in support of the Large Load Joint Stipulation. The general terms of the Large Load Joint Stipulation are as follows:

Availability. Applies to any retail customer with Contract Demand exceeding 75 MW at a single delivery point, regardless of self-supply level, under a contract executed on or after July 1, 2026. Pre-existing customers below 75 MW are captured only if their Contract Demand increases by 75 MW or more above July 1, 2026, levels. One delivery point, standard voltage, no concurrent service under another retail schedule for the same load.

Three service options. Option 1 is full self-supply/BYONG under Rider SSS (no Company generation service); Option 2 is partial requirements, treated as a blend with Option 1 terms governing the self-supplied portion and Option 3 terms the Company-served portion; Option 3 is full requirements.

Contract terms. Option 1: minimum 10 years (the statutory floor under 17 O.S. § 903, subject to the Act's public-power/tax-exempt financing exception); Option 3: 15 years, with an optional customer-elected load ramp of up to 5 years; Option 2 terms run independently for each portion.

Contributions in Aid of Construction (CIAC) and network upgrades (all options). Customer funds 100% of direct-connect facilities up front and prefunds network upgrades sufficient to hold the Company's transmission rate to existing customers at or below the but-for level. Key mechanics: studies using uniform planning criteria with workpapers shared with the customer; prefunded amount set by Commission-approved cost-causation allocation; a sworn rate-neutrality certification with supporting calculations; refunds via FERC Order 2003 Attachment Z crediting, capped at the prefunded amount, no interest; uniform methodology across all schedule customers; and full subjection to the Section 8 true-up.

Rates and billing. Base Service Charge of \$280/month (current LPL level, interim, subject to cost-of-service determination and true-up). Generation capacity and energy charges apply only to Company-served load; self-supplied load under Rider SSS pays \$0.00 for both, with the zero rate confined strictly to the self-supply portion. Transmission and rider charges apply on total metered demand under every option. A System Impact Charge acts as an adder to mitigate rate increases to other classes (may be zero if no increase would result), with Section 8 dedicating all System Impact Charge revenues to other customer classes via the FAC — they cannot benefit LLS customers. Billing Demand floor is 80% of Contract Demand, enforced either by ratcheting Contract Demand up to metered peaks or physically limiting load. Minimum monthly bill varies by option; the System Contribution Rider is excluded entirely.

Collateral. None for Option 1 (or the Option 1 portion of Option 2). Option 3 requires security equal to 48 months of non-fuel minimum bills, recomputed annually, via (a) parent/affiliate guarantee (guarantor rated at least A-/A3 with liquidity exceeding 10x the requirement), (b) standby irrevocable letter of credit from an unaffiliated A-/A3 U.S. bank, minimum 360-day term with 30-day renewal deadlines and draw rights on non-renewal, or (c) cash.

Exit and early termination. Option 1 customers may exit at any time with no fee. Option 3 customers may give notice after 60 months of service, with 24 months' notice. The exit fee is the NPV (at the Commission-approved carrying-charge rate) of remaining directly-assigned costs over the remaining term — unrecovered capital in generation/transmission/direct-connect plus non-terminable contractual

commitments — excluding terminable obligations and any plant, CPA, or PPA usable for net-new load, reduced by mitigation. The Company must use reasonable efforts to mitigate by reassigning capacity, and the calculation must be itemized, auditable, and subject to Section 8 reconciliation. A 14-business-day management escalation process applies to exit-fee disputes, without prejudice to formal Commission proceedings.

True-Up Mechanism. The centerpiece of the ratepayer-protection architecture: a standardized, customer-specific reconciliation in each rate case or dedicated proceeding ensuring documented cost-causation assignment in both directions. Notable features: no true-up amount may be billed or reflected anywhere until the Commission approves the methodology, template, materiality threshold, carrying-charge rate, and data protocols; an annual informational filing with eight enumerated components (including whether any cost shift occurred); symmetrical prospective adjustments for variances of [2%] or more, with under-collections recovered only from the affected customer; symmetric deferral treatment requiring advance authorization; customer audit and dispute rights; rate-shock protection capping annual net adjustments at [10%] of prior-year billings absent extraordinary circumstances; and an express no-retroactive-ratemaking clause. Several parameters remain bracketed placeholders.

General provisions. No replacement-power obligation: the Company owes no backup, standby, or replacement service if self-supply fails, except as expressly provided in the Service Agreement. Market penalties or deficiency costs caused by Option 1 service are directly assigned to the customer. Late charge of 1.5%/month. Conformance clause reiterating HB 2992 supremacy and the Commission's enforcement authority.

Amended Exhibit FJB-1 (AG/Beling Settlement Testimony), Proposed PSO Large Load Service (LLS) Tariff Filed June 29, 2026 (Entry No. 795) and fully adopted by Google/Kimbrough Second Supplemental Settlement Testimony Filed June 30, 2026 (Entry No. 797).

The main opposition to the Large Load Joint Stipulation comes from PSO. PSO argues that the stipulation constitutes a “wheeling” scheme in contravention to Oklahoma law. It argues that the OCC does not have the authority to impose such tariff on PSO because there is not specific legislative authority to do so. PSO points to Senate Bill 480 (2025), known as the “behind the meter” law. SB 480 allows an entity to generate their own power, on premises, to be used solely for that entity's use and not to be resold. It argues this is the only law passed by the Oklahoma Legislature that allows bring your own generation, and since the provisions of the Large Load Joint Stipulation do not fall under this law, the provisions of the stipulation are unlawful. PSO also argues that the stipulation is unlawful because it constitutes interference with internal management decisions.

OIEC is generally in favor of the Large Load Joint Stipulation, but suggested the following modifications be adopted before Commission approval:

- 1) The first revision is to paragraph 3.1 which makes the provisions of the stipulation applicable to customers in excess of 75MW. OIEC's believes this definition is too broad and exceeds the definition as provided in House Bill 2922 which defines large load as "new data centers, new cryptocurrency mining operations and new facilities whose primary function is artificial-intelligence computing facilities that contract with an electric supplier to add seventy-five (75) megawatts or greater electric load per facility or in aggregate behind a single point of interconnection to an electric supplier's load after July 1, 2026."
- 2) The next revision proposed by OIEC is to paragraph 7.3 which provides for a 15-year term for customers choosing option 3. It believes that there is no justification for going above the statutory minimum term of 10 years.
- 3) OIEC suggests that paragraph 7.6 be modified to decrease the collateral period from 48 months of non-fuel minimum bills to 24 months of non-fuel minimum bills.

AARP generally supports the Large Load Joint Stipulation but suggests two revisions. First, AARP would add a system impact charge to customers choosing Option 1 if they remain interconnected to PSO's system for the purpose of backup power. Second, AARP advocates for a publicly accessible tariff be used as opposed to a private contract.

The ALJ finds that while some of the terms of the Large Load Joint Stipulation do resemble wheeling, they are not in fact wheeling because PSO remains the retail electric supplier. For the same reasons, the terms of the Large Load Joint Stipulation do not violate the provisions of the Retail Electric Supplier Certified Territory Act ("RESCTA") or the Oklahoma Supreme Court's decisions relating to RESCTA. The ALJ further finds that while the Oklahoma Legislature has addressed behind the meter generation, the fact that it has not addressed BYONG does not preclude the use of BYONG. The concepts of BYONG, as proposed in this case, are already allowed by law and squarely within the purview of the Commission. Consequently, it is the opinion of the ALJ that the provisions of the Large Load Joint Stipulation are lawful and within the jurisdiction of the Commission. While the large load tariff proposed by PSO is likewise lawful, the Large Load Joint Stipulation is the product of negotiation and settlement by industry, industry advocates, and consumer advocates. The Large Load Joint Stipulation represents a more comprehensive approach to ensuring that large load customers who choose to locate in the State of Oklahoma have access to the power they need, and at the same time protects the rest of the customer base from being forced to finance the cost of providing power to these large load customers.

The ALJ recommends that the terms of the Large Load Joint Stipulation be adopted by the Commission and placed in a public tariff to be filed by PSO and approved by the PUD Director. The ALJ does not find that the edits suggested by OIEC and AARP add any needed substance to the tariff and are therefore not recommended; however, if the Commission chooses to adopt those edits, the ALJ does not find that those edits are in any way detrimental to the validity of the tariff or to ratepayers.

VIII. FINDINGS OF FACT AND CONCLUSIONS OF LAW

THE COMMISSION FINDS that it has jurisdiction over this Case by virtue of the provisions of Article IX, § 18 of the Constitution of the State of Oklahoma, 17 O.S. §§ 151, 152, 153, 250 *et seq.*, and 281 *et seq.*; and OAC 165:70-1-1 *et seq.*

THE COMMISSION FURTHER FINDS that notice is proper and given as provided by law, the Rules of the Commission, and Commission Order No. 754614.

THE COMMISSION FURTHER FINDS that the Report and Recommendation of the ALJ issued May 5, 2026, addressing the Motion to Determine Status of “Pro Se Intervenors” is well taken and is adopted.

THE COMMISSION FURTHER FINDS that the oral recommendation of the ALJ concerning the Amicus Brief filed by OG&E in this matter is well taken and is adopted.

THE COMMISSION FURTHER FINDS that the Revenue Requirement Joint Stipulation and Settlement Agreement, attached hereto as Attachment “A”, with the exception of provision 1(k), is fair, just reasonable and in the public interest.

THE COMMISSION FURTHER FINDS that the 4CP allocator is the appropriate allocator for PSO to use when allocating transmission costs among the rate classes.

THE COMMISSION FURTHER FINDS that the Large Load Joint Stipulation and Settlement Agreement, attached hereto as Attachment “B”, is fair, just, reasonable and in the public interest.

THE COMMISSION FURTHER FINDS that approval of Rider SSS or a successor self-supply/BYONG rider does not constitute deregulation of PSO retail service, does not authorize retail wheeling, does not authorize an unauthorized retail electric supplier to furnish retail electric service in PSO’s certified territory, and does not remove participating customers from Commission-approved tariff service.

THE COMMISSION FURTHER FINDS the LLS Tariff is consistent with 17 O.S. § 158.25 because PSO remains the retail electric service provider and load-responsible entity; all retail electric service remains supplied through PSO; and no other entity may enter PSO’s Oklahoma territory, compete for load, or displace PSO.

ORDER

THE COMMISSION THEREFORE ORDERS that based on the substantial evidence in the record and summarized herein, the above Findings of Fact and Conclusions of Law are adopted as the Order of the Commission.

THE COMMISSION FURTHER ORDERS that the Joint Stipulation and Settlement Agreement, attached hereto as Attachment “A”, with the exception of Provision 1(k), is hereby approved and incorporated into this Order of the Commission.

THE COMMISSION FURTHER ORDERS that the rates, charges and tariffs reflecting the terms of this Order be and the same are hereby approved and shall become effective with the first regular billing cycle after the Company submits filed tariffs to the Commission that conform with

this Order and the tariffs have been reviewed and approved by the Director of the Public Utility Division.

THE COMMISSION FURTHER ORDERS that PSO maintain the 4CP transmission allocator as approved in prior orders of the Commission.

THE COMMISSION FURTHER ORDERS that the provisions of the Large Load Joint Stipulation and Settlement Agreement, attached hereto as Attachment "B", be incorporated into a tariff by PSO and submitted to the PUD Director for approval.

Respectfully submitted this 21st day of August, 2026.

Kenneth B. Behrens

KENNETH B. BEHRENS

Administrative Law Judge

Cc:

Chairman Kim David

Commissioner J. Todd Hiett

Commissioner J. Brian Bingham

Jeff Kline

Nicole King

Jared B. Haines

Curtis Johnson

Elizabeth A.P. Cates

Matt Mullins

Erica O'Neal

Jana Slatton

Jason Murray

Jack P. Fite

Kenneth T. Tillotson

Thomas L. Grossnicklaus

Ashley N. Youngblood

Justin Cullen

Meghan Wan

Michael L. Velez

Natasha M. Scott

Mike S. Ryan

E.J. Thomas

Kyle Vazquez

Thomas P. Schroedter

Eric C. Money

J. David Jacobson

Adam J. Singer

Rick D. Chamberlain

Jim A. Roth

Lindsay Pever
Niles Stuck
Cole Peters
John Joseph McNutt
Kenneth E. Wagner
Nikhil Vijaykar
Gonzalo E. Rodriguez
Mary Candler

Attachment "A"

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA, AN	)	
OKLAHOMA CORPORATION, FOR	)	
AN ADJUSTMENT IN ITS RATES AND	)	
CHARGES AND THE ELECTRIC	)	CASE NO. PUD 2025-000075
SERVICE RULES, REGULATIONS AND	)	
CONDITIONS OF SERVICE FOR	)	
ELECTRIC SERVICE IN THE STATE	)	
OF OKLAHOMA AND TO APPROVE	)	
VARIOUS COST RECOVERY	)	
MECHANISMS AND TARIFFS	)	

JOINT STIPULATION AND SETTLEMENT AGREEMENT

COME NOW the undersigned parties to the above-entitled case and present the following Joint Stipulation and Settlement Agreement ("Joint Stipulation") for the Commission's review and approval as their compromise and settlement of all issues in this proceeding between the parties to this Joint Stipulation ("Stipulating Parties") with the exception of the tariff to be adopted for a new Large Load Tariff consistent with HB2992.¹ The Stipulating Parties represent to the Commission that this Joint Stipulation represents a fair, just and reasonable settlement of these issues, that the terms and conditions of the Joint Stipulation are in the public interest, and the Stipulating Parties urge the Commission to issue an Order in this adopting and approving this Joint Stipulation.

It is hereby stipulated and agreed by and between the Stipulating Parties as follows:

TERMS OF THE JOINT STIPULATION AND SETTLEMENT AGREEMENT

Effective with the final order of the Oklahoma Corporation Commission ("OCC") approving all elements of this Joint Stipulation:

1. Revenue Requirement, Tariffs, and Other Agreements:

- (a) The Stipulating Parties agree that the Commission should find a base rate revenue deficiency of \$447.1 million on a gross basis (representing a 39% base rate change), based upon a return on equity of 9.375%, a capital structure of 50.15% debt/49.85% equity (long term debt rate of 4.72%), and weighted average cost of capital ("WACC") of 7.04%, grossed up for taxes of 8.57%. The base rate revenue deficiency is subject to the offsets described in paragraph 1(b) below, resulting in a net revenue deficiency of \$72.7 million and an estimated total bill change of approximately 5%.

¹ The Petroleum Alliance of Oklahoma does not support section 1(k) of the Stipulation.

- (b) The Stipulating Parties agree on the following components of the revenue deficiency:

PSO Filed Rebuttal Revenue Deficiency	\$ 606.9	Base Rate Change	54%
Settlement Terms			
Rate Base Items			
Cash Working Capital	\$ 0.4		
Weighted Average Cost of Capital			
Δ ROE	\$ (39.3)		
Expenses/Revenue Items			
Incentive Expense	\$ (7.4)		
Storm Amortization	\$ (22.8)		
Annual Storm Increase	\$ (37.2)		
Income Taxes	\$ (12.5)		
Factoring	\$ (0.1)		
Factoring on Rev Deficiency	\$ (1.1)		
Depreciation & Amortization Expense	\$ (32.3)		
Payroll Tax Expense	\$ (0.6)		
Payroll Normalization	\$ (1.6)		
AEPSC Adjustment (Incl. Payroll)	\$ (2.1)		
PBA Deferral Amortization to three years	\$ (2.3)		
Chamber of Commerce Dues	\$ (0.1)		
Pension Expense (SERP & Pension Settlement)	\$ (0.8)		
PSO Proposed Settlement Revenue Deficiency - Gross	\$ 447.1	Base Rate Change	39%
Offsets (Rolled in Riders)	\$ (236.7)		
Offsets (New PTC's)	\$ (32.3)		
PTCs Realized in FAC	\$ (29.5)		
Deferred Tax Liabilities Offset (Tax Change Rider)	\$ (76.0)		
PSO Proposed Settlement Revenue Deficiency - Net	\$ 72.7	Total Bill Change	5%

The Stipulating Parties agree the payroll items listed above remove the post six-month payroll adjustments, severance expense, pension settlement amortization, and SERP. PSO's requested pension settlement regulatory asset will not be established. Offsets reflected above include amounts rolled into existing riders, new production tax credits, PTCs realized in the fuel adjustment clause, and deferred tax liabilities credited through PSO's Tax Change Rider.

- (c) The Stipulating Parties agree PSO's current Deferred Tax Liabilities related to tax repairs be credited to customers over a two-year period through PSO's Tax Change Rider. PSO shall be authorized to establish a regulatory asset (DTL Regulatory Asset) in the amount necessary to provide the Tax Change Rider credits over the two year period. PSO will amortize the DTL Regulatory Asset over the life of the underlying plant for which the deferred tax liabilities were established and recover the amortization expense through the Tax Change Rider. The DTL Regulatory

Asset will earn a return at PSO's authorized after-tax WACC as an offset to base rate DTLs.

- (d) The Stipulating Parties agree the trim cycle vegetation management should be approved consistent with Company Witness Devereux THD-R Figure 3: \$27M in base rates consistent with PSO's application, \$13M eligible for deferral through a regulatory asset for the first year of implemented rates, and \$4M eligible for deferral through a regulatory asset for each year thereafter until PSO's next rate case.
- (e) The Stipulating Parties agree the Southwest Power Pool Transmission Cost Rider recommendation should be approved as proposed by PSO. PSO agrees to update class allocators annually. PSO also agrees that PUD and other parties retain the right to advocate different positions in future base rate cases.
- (f) The Stipulating Parties agree that the Grid Enhancement And Resiliency (GEAR) Rider shall sunset on December 31, 2029, and the rider shall be capped at \$6M annual recovery going forward. PSO may request additional GEAR Rider recovery in PSO's next rate case.
- (g) The Stipulating Parties agree the Renewable Resource Rider sunset shall be extended as proposed by PSO to accommodate the Algodon facility in-service date.
- (h) The Stipulating Parties agree the second Net Operating Loss Carryforward (NOLC) IRS Private Letter Ruling (PLR) is still pending. Therefore, the parties agree that the Commission will continue to treat the NOLC as ordered in Case No. PUD 2024-000032 and the AG, PUD, and other parties retain the right to advocate for a different NOLC calculation methodology in future base rate cases pending receipt of the Second IRS PLR.
- (i) The Stipulating Parties agree PSO's proposed Curtailable Service Tariffs (CSTs) shall be approved.
- (j) The Stipulating Parties agree that PSO's proposed modification to the semi-annual redetermination dates in the Fuel Cost Adjustment Rider will be updated, shifting from May and November to February and August.
- (k) The Stipulating Parties, with the exception of The Petroleum Alliance of Oklahoma, agree that PSO's proposed 12 CP transmission cost allocation, 85% energy / 15% demand allocation for wind facilities, and 38% energy / 62% demand allocation for solar facilities should be approved.
- (l) The Stipulating Parties agree that all uncontested tariff changes proposed by PSO shall be considered approved.

- (m) The Stipulating Parties agree PSO's proposed Large Power and Light (LPL) and Large Load Power (LLP) tariffs filed in Rebuttal Testimony shall be an open issue to be finalized at hearing.

2. Discovery and Motions.

As between and among the Stipulating Parties, all pending requests for discovery, and all motions pending before either the Commission or the Administrative Law Judge not related to transmission allocation or the Large Load Tariff, are hereby withdrawn.

3. General Reservations.

The Stipulating Parties represent and agree that, except as specifically otherwise provided herein with the exception of those relating to cost allocations and the Large Load Tariff:

- (a) This Joint Stipulation represents a negotiated settlement for the purpose of compromising and settling all issues which were raised relating to this proceeding.
- (b) Each of the undersigned counsel of record affirmatively represents that he or she has full authority to execute this Joint Stipulation on behalf of their client(s).
- (c) None of the signatories hereto shall be prejudiced or bound by the terms of this Joint Stipulation in the event the Commission does not approve this Joint Stipulation nor shall any of the Stipulating Parties be prejudiced or bound by the terms of this Joint Stipulation should any appeal of a Commission order adopting this Joint Stipulation be filed with the Oklahoma Supreme Court.
- (d) Nothing contained herein shall constitute an admission by any party that any allegation or contention in these proceedings as to any of the foregoing matters is true or valid.
- (e) The Stipulating Parties agree that the provisions of this Joint Stipulation are the result of extensive negotiations, and the terms and conditions of this Joint Stipulation are interdependent. The Stipulating Parties agree that settling the issues in this Joint Stipulation is in the public interest and, for that reason, they have entered into this Joint Stipulation to settle among themselves the issues in this Joint Stipulation. This Joint Stipulation shall not constitute nor be cited as a precedent nor deemed an admission by any Stipulating Party in any other proceeding except as necessary to enforce its terms before the Commission or any state court of competent jurisdiction. The Commission's decision, if it enters an order consistent with this Joint Stipulation, will be binding as to the matters decided regarding the issues described in this Joint Stipulation, but the decision will not be binding with respect to similar issues that might arise in other proceedings. A Stipulating Party's support of this Joint Stipulation may differ from its position or testimony in other causes. To the extent there is a difference, the Stipulating Parties are not waiving their positions in other causes. Because this is a stipulated agreement, the

Stipulating Parties are under no obligation to take the same position as set out in this Joint Stipulation in other dockets.

4. Non-Severability.

The Stipulating Parties stipulate and agree that the agreements contained in this Joint Stipulation have resulted from negotiations among the Stipulating Parties and are interrelated and interdependent. The Stipulating Parties hereto specifically state and recognize that this Joint Stipulation represents a balancing of positions of each of the Stipulating Parties in consideration for the agreements and commitments made by the other Stipulating Parties in connection therewith. Therefore, in the event that the Commission does not approve and adopt the terms of this Joint Stipulation in total and without modification or condition (provided, however, that the affected party or parties may consent to such modification or condition), this Joint Stipulation shall be void and of no force and effect, and no Stipulating Party shall be bound by the agreements or provisions contained herein. The Stipulating Parties agree that neither this Joint Stipulation nor any of the provisions hereof shall become effective unless and until the Commission enters an Order approving all of the terms and provisions as agreed by the parties to this Joint Stipulation and such Order becomes final and non-appealable.

WHEREFORE, the Stipulating Parties hereby submit this Joint Stipulation and Settlement Agreement to the Commission as their negotiated settlement of this proceeding with respect to all issues which were raised with respect to this Application, with exception of those issues specifically noted in this Agreement, and respectfully request the Commission to issue an Order approving this Joint Stipulation and Settlement Agreement.

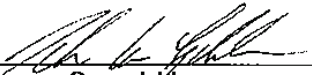
**PUBLIC UTILITY DIVISION
OKLAHOMA CORPORATION
COMMISSION**

By: Fairo Mitchell
Fairo Mitchell, Director of the Public
Utility Division of the Oklahoma
Corporation Commission

**PUBLIC SERVICE COMPANY OF
OKLAHOMA**

By: Jack P. Fite
Jack P. Fite
Kenneth Tillotson
Attorneys for Public Service Company
of Oklahoma

**GENTNER DRUMMOND
ATTORNEY GENERAL OF THE
STATE OF OKLAHOMA**

By: 
Thomas Grossnicklaus
Deputy Attorney General

**OKLAHOMA INDUSTRIAL ENERGY
CONSUMERS**

By: _____
Thomas P. Schroedter
Attorney for Oklahoma Industrial Energy
Consumers

WALMART INC.

By: _____
Rick D. Chamberlain
Attorney for Walmart Inc.

DOD/FEA

By: _____
John J. McNutt
Regulatory Law Counsel
Army Office of General Counsel

**THE PETROLEUM ALLIANCE OF
OKLAHOMA**

By: _____
J. David Jacobson
Attorney for The Petroleum Alliance of
Oklahoma

AARP

By: _____
Adam J. Singer
Attorney for AARP

GOOGLE

By: _____
James A. Roth
Attorney for Google

DATA CENTER COALITION

By: _____
Kenneth E. Wagner
Attorney for Data Center Coalition

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ATTORNEY GENERAL OF THE
STATE OF OKLAHOMA**

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WALMART INC.

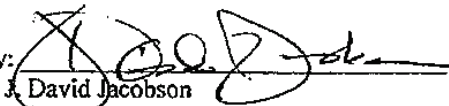
DOD/FEA

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**THE PETROLEUM ALLIANCE OF
OKLAHOMA**

AARP

By:  _____
David Jacobson
Attorney for The Petroleum Alliance of
Oklahoma

By: _____
Adam J. Singer
Attorney for AARP

GOOGLE

DATA CENTER COALITION

By: _____
James A. Roth
Attorney for Google

By: _____
Kenneth E. Wagner
Attorney for Data Center Coalition

Attachment "B"

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)	
COMPANY OF OKLAHOMA, AN)	
OKLAHOMA CORPORATION, FOR)	
AN ADJUSTMENT IN ITS RATES AND)	
CHARGES AND THE ELECTRIC)	CASE NO. PUD 2025-000075
SERVICE RULES, REGULATIONS AND)	
CONDITIONS OF SERVICE FOR)	
ELECTRIC SERVICE IN THE STATE)	
OF OKLAHOMA AND TO APPROVE)	
VARIOUS COST RECOVERY)	
MECHANISMS AND TARIFFS)	

Joint Stipulation and Settlement Agreement

COME NOW the undersigned parties to the above-entitled Cause and present the following Joint Stipulation and Settlement Agreement (the Joint Stipulation) for the Oklahoma Corporation Commission's (Commission or OCC) review and approval as their compromise and settlement of the large-load tariff and self-supply issues described herein. The Stipulating Parties represent to the Commission that this Joint Stipulation is fair, just and reasonable, is in the public interest, and should be approved.

The Stipulating Parties further state that Public Service Company of Oklahoma (PSO) filed this Cause to review PSO's rates, charges, regulations and conditions of service and to obtain approval of various cost recovery mechanisms and tariffs, including large-load tariff terms. PSO's Application states that PSO is an Oklahoma corporation engaged in generating, purchasing, transmitting, distributing and selling electric energy in Oklahoma, and that its Oklahoma operations are subject to the Commission's jurisdiction.

Terms of the Joint Stipulation and Settlement Agreement

Effective with the final order of the Commission approving all elements of this Joint Stipulation:

1. Approval of Separate Large Load Tariff Framework

1.1. The Stipulating Parties agree that PSO shall establish a new, separate large-load tariff (Large Load Service or LLS Tariff) applicable to eligible customers with contract demand

exceeding 75 MW at a single delivery point. The tariff shall be separate from, and shall not be treated as a carve-out from, PSO's existing large-customer tariff.

1.2. The Stipulating Parties agree that the large-load tariff should include three service options: (a) an Option 1 self-supply or bring-your-own-generation (BYOG) option under which the customer takes no generation service from PSO; (b) an Option 2 mixed-service option under which a portion of the customer's load is served under Option 1 and a portion under Option 3; and (c) an Option 3 full-utility-generation-service option under which the customer takes generation service from PSO.

1.3. The Stipulating Parties acknowledge that the settlement proposal provides terms and conditions for three service options within a new large-load tariff applicable to eligible customers with contract demand exceeding 75 MW.

2. HB 2992 Compliance and Cost-Causation Protections

2.1. The Stipulating Parties acknowledge that Oklahoma HB 2992, the Data Center Customer Protection Act of 2026,¹ was approved by the Governor on May 11, 2026, and becomes effective July 1, 2026. The Stipulating Parties intend that the tariff approved under this Joint Stipulation comply with HB 2992 and any Commission rule, order, or directive implementing HB 2992.

2.2. The Stipulating Parties agree that the large-load tariff shall be interpreted, administered and, if necessary, modified to ensure that residential, commercial, industrial and other non-large-load customers are protected from unjust rates resulting directly from electric service to large-load customers, and that costs and revenues are assigned and allocated in accordance with cost-causation principles.

2.3. The Stipulating Parties agree that each service option shall include a true-up mechanism. Under that mechanism, PSO shall periodically review, in a general rate case, regular review process, or other Commission-approved proceeding, whether any costs incurred to serve a large-load customer have been under-collected, over-collected, misallocated, or shifted to residential, commercial, industrial, or any other rate class. If such review identifies a cost shift, under-recovery, or over-recovery, then the applicable rates, charges, credits, collateral requirements, exit fees, minimum charges, or other tariff terms shall be adjusted prospectively and, to the extent permitted by law and approved by the Commission, trued up to assign and allocate costs and revenues consistent with HB 2992's cost-causation requirements.

¹ Codified as Okla. Stat. tit. 17 §§ 900-905 effective July 1, 2026

2.4. The true-up mechanism shall be designed to ensure that large-load customers reimburse PSO for all costs fairly allocated to them. To the extent the true-up mechanism determines overcollection from a large-load customer or customers, the affected customer or customers shall receive an appropriate credit approved by the Commission.

2.5. The Stipulating Parties agree that the large-load tariff shall include credit requirements and other measures necessary to ensure that large-load customers reimburse PSO for all costs fairly allocated to them, including costs incurred to directly serve the customer that may remain unrecovered if the customer departs the system or materially reduces load.

2.6. The Stipulating Parties agree that each service option shall be implemented consistently with any minimum service-term requirement established by HB 2992, including a minimum ten-year term where applicable, unless the customer or service arrangement is not subject to that requirement under HB 2992 or a Commission order.

3. Applicability

3.1. The large-load tariff shall apply to customers with contract demand exceeding 75 MW, regardless of the customer's BYOG or self-supply generation level.

3.2. The Stipulating Parties agree that the 75 MW threshold resolves, as between the Stipulating Parties, the contested large-load applicability-threshold issues raised in this Cause by PSO, Google, the Petroleum Alliance, DOD/FEA, AARP, and other parties. The Combined Issues Lists reflect disputes over whether the large-load threshold should be 10 MW or 75 MW and whether special large-load provisions should apply only to true large-load customers.

4. Transmission and Interconnection Upgrades

4.1. For Option 1, Option 2, and Option 3, the large-load customer shall fully fund up-front, through Contribution in Aid of Construction (CIAC) or other Commission-approved mechanism, direct-connect transmission and interconnection facilities needed to serve that customer.

4.2. For Option 1, Option 2, and Option 3, the large-load customer shall fully fund up-front a portion of required network upgrades necessary to prevent impacts to PSO's transmission rates for existing customers.

5. Option 1 — Full Self-Supply / BYOG Service

5.1. Under Option 1, a qualifying large-load customer shall take no generation service from PSO for the self-supplied portion of its load and may self-supply up to 100% of its capacity and energy requirements through a qualified wholesale market counterparty or through behind-the-meter generation, subject to Rider SSS or successor tariff provisions approved by the Commission.

5.2. Option 1 customers shall fund the directly attributable direct-connect facilities and network-upgrade obligations under Section 4.

5.3. Option 1 contract term shall be the minimum required by applicable law, including the ten-year minimum service term described in HB 2992 where applicable.

5.4. Option 1 billing demand shall be a minimum of 80% of contract demand, with either: (a) automatic increase of contract demand with higher peaks; or (b) physical limitation of load so that load does not exceed contract demand.

5.5. Option 1 minimum charges shall equal the sum of minimum demand charges for transmission only, customer charges, and all applicable non-generation riders billed at actual usage.

5.6. No collateral shall be required for Option 1, except to the extent otherwise required by law, Commission order, generally applicable tariff provisions, or customer-specific facilities agreements.

5.7. An Option 1 customer may exit at any time, subject to satisfying outstanding obligations for direct-connect facilities, network upgrades, CIAC, and any Commission-approved charges necessary to prevent cost shifts to other customers.

5.8. Generation capacity charges, energy charges, fuel adjustment charges, and generation-related riders shall not apply to the self-supplied portion of load. Delivery, transmission, and applicable regulatory rider charges shall continue to apply based on total metered demand, subject to Commission-approved tariff terms. The settlement proposal describes Rider SSS as allowing customers with verified coincidental or non-coincident peak demand of at least 75 MW at a single delivery point to self-supply up to 100% of capacity and energy requirements, with generation capacity and energy charges set to \$0.00 for the self-supplied portion

5.9. The System Contribution Charge shall not apply to Option 1 except as expressly approved by the Commission in the large-load tariff or in a customer-specific special contract.

6. Option 2 — Mixed Self-Supply and PSO Generation Service

6.1. Under Option 2, a qualifying large-load customer may elect service under Option 1 for a portion of its load and Option 3 for the remaining portion of its load.

6.2. Option 1 terms shall apply to the Option 1 portion of load, and Option 3 terms shall apply to the Option 3 portion of load.

6.3. PSO shall maintain metering, billing, scheduling, imbalance, standby, settlement, and verification provisions sufficient to ensure that the Option 1 and Option 3 portions of load are separately identified and billed consistent with cost causation and Commission-approved tariff terms.

6.4. The System Contribution Charge shall not apply to Option 2 except as expressly approved by the Commission in the large-load tariff or in a customer-specific special contract.

7. Option 3 — Full PSO Generation Service

7.1. Under **Option 3**, a qualifying large-load customer shall take generation service from PSO and shall not self-supply the customer's generation requirements under Rider SSS for the Option 3 portion of load.

7.2. Option 3 customers shall fund the applicable direct-connect facilities and network-upgrade obligations under Section 4.

7.3. Option 3 shall include a 15-year initial term, with a customer-elected load ramp of up to five years, subject to Commission approval and consistency with HB 2992.

7.4. Option 3 billing demand shall be a minimum of 80% of contract demand, with either: (a) automatic increase of contract demand with higher peaks; or (b) physical limitation of load so that load does not exceed contract demand.

7.5. Option 3 minimum charges shall equal the sum of minimum demand charges for transmission and generation costs, customer charges, and all applicable riders billed at actual usage.

7.6. Option 3 collateral shall equal 48 months of non-fuel minimum bills, subject to the following terms: (a) collateral may be provided through a qualifying guarantee, letter of

credit, or cash; (b) collateral shall be based on 48 times the maximum historical monthly non-fuel charges; and (c) collateral shall be recomputed annually.

7.7. An Option 3 customer may provide notice of exit after 60 months of initial service. The exit fee shall be based on the present value of any remaining reasonably allocable costs incurred to serve or for the benefit of the customer. Financial obligations PSO can terminate shall not be included in the exit fee, and portions of plant balance or CPA/PPA obligations that can be used for net new load shall not be included in the exit fee.

7.8. The System Contribution Charge shall not apply to Option 3 except as expressly approved by the Commission in the large-load tariff or in a customer-specific special contract.

8. Commission Authority to Approve Self-Supply Rider

8.1. The Stipulating Parties agree and stipulate that the Commission has jurisdiction and authority to approve a self-supply rider, including Rider SSS or a successor self-supply/BYOG rider, as part of PSO's retail electric tariff in this Cause.

8.2. PSO's Application invokes Okla. Const. art. IX, § 18; 17 O.S. §§ 152, 153, 250 et seq., and 281 et seq.; and OAC 165:70-1-1 et seq. as legal authority for Commission review of PSO's rates, charges, regulations and conditions of service and approval of cost recovery mechanisms and tariffs.

8.3. Okla. Const. art. IX, § 18 vests the Commission with authority over public utilities, and Okla. Const. art. IX, § 20 provides for direct Supreme Court review of Commission actions prescribing rates, charges, services, practices, rules, or regulations of a public utility. In *City of Oklahoma City v. Oklahoma Corporation Commission*, the Oklahoma Supreme Court reaffirmed that Commission actions prescribing rates, charges, services, practices, rules or regulations of public utilities are appealable under Okla. Const. art. IX, § 20, and that utility tariffs are created through the Commission's legislative ratemaking authority. *City of Okla. City v. Okla. Corp. Comm'n*, 558 P.3d 1231 (Okla. 2024).

8.4. Title 17 O.S. § 152(A) provides that the Commission has general supervision over public utilities, including power to fix and establish rates and to prescribe and promulgate rules, requirements, and regulations affecting their services, operation, and business management. In *City of Oklahoma City*, the Oklahoma Supreme Court quoted § 152(A) as granting the Commission "general supervision over all public utilities" and authority to "fix and establish rates" and prescribe rules, requirements, and regulations affecting public-

utility services, operations, and business conduct. *City of Okla. City v. Okla. Corp. Comm'n*, 558 P.3d 1231 (Okla. 2024).

8.5. Oklahoma Supreme Court precedent recognizes that the Commission approves utility tariffs and rates, and that a utility may not unilaterally increase rates. In *In re Oklahoma Development Finance Authority for Approval of Not to Exceed \$800,000,000 Ratepayer-Backed Bonds*, the Court stated that an investor-owned electric public utility operating in Oklahoma is subject to Commission oversight concerning retail rates and charges and “cannot increase utility rates on its own”; instead, the Commission must approve rates and fuel-cost adjustments. *In re Okla. Dev. Fin. Auth. for Approval of Not to Exceed \$800,000,000 Ratepayer-Backed Bonds*, 510 P.3d 165 (Okla. 2022).

8.6. Oklahoma Supreme Court precedent further recognizes that utility tariffs are the Commission-approved instruments setting forth utility services and rates. In *City of Oklahoma City*, the Court described a public utility tariff as a published document setting forth services provided by the utility, a schedule of rates for those services, and policies relating to the rates, approved by the Commission. *City of Okla. City v. Okla. Corp. Comm'n*, 558 P.3d 1231 (Okla. 2024).

8.7. HB 2992 independently supports Commission approval of separate large-load tariff provisions, including a self-supply rider, because the Act requires separate terms, conditions, and tariffs for large-load customers; requires protection of non-large-load customers from unjust rates resulting directly from service to large-load customers; requires cost-causation allocation; and authorizes the Corporation Commission to promulgate rules and exercise enforcement authority within its jurisdiction. The official Oklahoma Legislature bill information page reflects that HB 2992 was approved by the Governor on May 11, 2026, and the enrolled bill is the operative legislative text. *HB 2992 Bill Information*, 60th Legislature, 2nd Session (Okla. 2026).

8.8. HB 2992 requires the Corporation Commission to approve separate terms, conditions, and tariffs for large-load customers; requires protection of non-large-load customers from unjust rates resulting directly from service to large-load customers; requires cost-causation allocation; and authorizes the Corporation Commission to promulgate rules and exercise enforcement authority within its jurisdiction.

8.9. The self-supply rider falls within the Commission’s authority because it is a tariffed retail-service option that determines the rates, charges, services, practices, rules, and regulations applicable to a defined large-load customer class; preserves Commission

jurisdiction over delivery, transmission, riders, metering, billing, and true-up terms; and assigns generation responsibility and generation-related costs to the customer electing to self-supply, thereby advancing HB 2992 cost-causation and ratepayer-protection requirements.

8.10. The Stipulating Parties agree that approval of Rider SSS or a successor self-supply rider does not deregulate PSO retail service, does not remove the customer from Commission-approved tariff service, and does not limit the Commission's authority to modify, condition, suspend, or enforce tariff provisions in future proceedings consistent with law.

9. Settled Issues

9.1. As between and among the Stipulating Parties, this Joint Stipulation resolves the following issues in this Cause:

- (a) whether PSO should offer a separate large-load tariff or separate large-load tariff provisions for customers above 75 MW;
- (b) whether the large-load applicability threshold should be 75 MW rather than 10 MW;
- (c) whether large-load customers should be allowed to self-supply or bring their own generation through a Commission-approved self-supply rider;
- (d) whether self-supplied load should avoid generation capacity charges, energy charges, fuel adjustment charges, and generation-related riders for the self-supplied portion of load;
- (e) whether delivery, transmission, and applicable regulatory riders should continue to apply to self-supplied customers based on total metered demand;
- (f) whether large-load customers should up-front fund direct-connect transmission and interconnection facilities through CIAC;
- (g) whether large-load customers should up-front fund required network upgrades necessary to prevent transmission-rate impacts to existing customers;
- (h) whether large-load terms should include a cost-causation true-up mechanism;
- (i) whether large-load terms should include credit support, minimum charges, collateral, and exit-fee mechanisms sufficient to prevent cost shifts to other customers;

(j) whether the Commission has authority to approve a self-supply rider as part of PSO's tariff in this Cause; and

(k) whether the large-load tariff should be conformed to HB 2992 and future Commission rules, orders, or directives implementing HB 2992.

9.2. The Stipulating Parties agree that the settlement of the foregoing issues is consistent with issues raised by Google, DOD/FEA, AARP, the Petroleum Alliance, the Data Center Coalition, and other parties concerning BYOG/self-supply, cost-shift protections, applicability threshold, contract term, collateral, exit fees, and large-load tariff structure. The Combined Issues Lists identify those disputed issues, including DOD/FEA's position that the Commission should consider an SGR or BYOG framework allowing large-load customers to arrange dedicated supply through third-party PPAs, behind-the-meter generation, self-supply, or a combination of resources.

10. Issues Not Resolved by this Joint Stipulation

10.1. Except as expressly resolved in Section 9, this Joint Stipulation does not resolve PSO's requested revenue requirement, overall rate increase, class revenue allocation, rate design, rate base, cost of capital, depreciation, storm-cost recovery, rider proposals other than the large-load/self-supply provisions addressed herein, or any other issue not specifically identified as settled.

10.2.- The Stipulating Parties acknowledge that the issues remaining for Commission decision or further settlement include, without limitation, the following:

(a) Revenue requirement and accounting adjustments. PSO's accounting adjustments, six-month post-test-year adjustments, plant additions, capital-project prudence and necessity, ad valorem tax treatment, depreciation expense, rate-case expenses, payroll increases, incentives, SERP, dues and donations, investor-relations expense, directors' and officers' insurance, SPP pro forma adjustments, NOLC treatment, ARO/CCR costs, deferred pension-settlement costs, and other revenue-requirement adjustments remain outstanding unless resolved by separate stipulation. PSO's issues list identifies accounting adjustments, generation and renewable investments, storm costs, O&M, depreciation, NOLC, NE3, CCR/ARO, and pension settlement cost issues.

(b) Cost of capital. The appropriate return on equity, capital structure, and overall rate of return remain outstanding. PSO identified return on equity and actual capital structure as issues, and other parties proposed different ROE and capital-structure positions.

(c) Storm-cost recovery. The level of storm expense in base rates, amortization of deferred storm costs, and whether recovery of storm costs should be denied or reduced remain outstanding.

(d) Vegetation Management Rider, SPPTC Rider, GEAR Rider, RRR Rider, and other rider issues. PSO's proposed Vegetation Management Rider, continued capitalization of vegetation-management costs, SPPTC amendments, GEAR Rider extension and cap increase, RRR expiration-date issue, and whether PSO's rider requests satisfy Commission standards remain outstanding except to the extent a provision expressly relates to the large-load/self-supply tariff approved herein.

(e) Cost-of-service and allocation issues. Production cost allocation, wind and solar allocation, transmission cost allocation, special-contract revenue allocation, class revenue requirement, and revenue allocation remain outstanding. Walmart, DOD/FEA, AARP, and others identified disputes over renewable generation capacity allocators, transmission cost allocators, cost-of-service study methodology, and class revenue requirement.

(f) Future test year and historical test year. AARP's issue concerning whether PSO's request to use a future test year should be rejected in favor of a historical test year remains outstanding.

(g) Renewable generation O&M and RRR expiration. The Petroleum Alliance's renewable generation O&M disallowance issue and RRR tariff expiration-date issue remain outstanding except to the extent otherwise resolved by separate stipulation.

(h) Rate design. Rate-design issues not expressly tied to the large-load/self-supply tariff terms settled herein remain outstanding, including Walmart's reduced-revenue-requirement rate-design proposal and mitigation of increases to C&I service levels.

(i) Special contracts and customer-specific arrangements. The preservation or approval of Commission-approved special contracts for atypical, capital-intensive large-load projects remains outstanding except to the extent this Joint Stipulation recognizes that uniform tariff terms may serve as a floor rather than a ceiling if the Commission approves a special contract.

10.3. No Stipulating Party waives its right to litigate or settle any outstanding issue not expressly settled herein.

11. Discovery and Motions

11.1. As between and among the Stipulating Parties, all pending requests for discovery and all motions pending before either the Commission or the Administrative Law Judge relating solely to the settled large-load/self-supply issues addressed in this Joint Stipulation are hereby withdrawn upon Commission approval of this Joint Stipulation.

11.2. Discovery requests and motions relating to issues not resolved by this Joint Stipulation are not withdrawn unless otherwise agreed in writing by the affected parties or ordered by the Commission.

12. General Reservations

12.1. The Stipulating Parties represent and agree that, except as specifically otherwise provided herein, this Joint Stipulation represents a negotiated settlement for the purpose of compromising and settling the issues identified as settled herein.

12.2. Each of the undersigned counsel of record affirmatively represents that he or she has full authority to execute this Joint Stipulation on behalf of the client or clients represented.

12.3. None of the signatories shall be prejudiced or bound by the terms of this Joint Stipulation if the Commission does not approve this Joint Stipulation, or if any appeal of a Commission order adopting this Joint Stipulation is filed with the Oklahoma Supreme Court.

12.4. The Stipulating Parties agree that the provisions of this Joint Stipulation are the result of extensive negotiations and that the terms and conditions of this Joint Stipulation are interdependent. The Stipulating Parties agree that settling the issues identified herein is in the public interest and that they have entered into this Joint Stipulation to settle those issues among themselves.

12.5. This Joint Stipulation shall not constitute, be cited as, or be deemed an admission or precedent by any Stipulating Party in any other proceeding, except as necessary to enforce its terms before the Commission or any court of competent jurisdiction. The Commission's decision, if it enters an order consistent with this Joint Stipulation, shall be binding as to the settled matters decided in this Cause, but shall not be binding with respect to similar issues that may arise in other proceedings.

12.6. A Stipulating Party's support of this Joint Stipulation may differ from its position or testimony in other causes. To the extent there is a difference, the Stipulating Parties do not waive their positions in other causes. Because this is a stipulated agreement, the Stipulating Parties are under no obligation to take the same position as set out in this Joint Stipulation in other dockets.

13. Non-Severability

13.1. The Stipulating Parties stipulate and agree that the agreements contained in this Joint Stipulation have resulted from negotiations among the Stipulating Parties and are interrelated and interdependent.

13.2. The Stipulating Parties specifically state and recognize that this Joint Stipulation represents a balancing of positions of each Stipulating Party in consideration for the agreements and commitments made by the other Stipulating Parties in connection herewith.

13.3. Therefore, if the Commission does not approve and adopt the terms of this Joint Stipulation in total and without modification or condition, unless the affected party or parties consent to such modification or condition, this Joint Stipulation shall be void and of no force and effect, and no Stipulating Party shall be bound by the agreements or provisions contained herein.

13.4. The Stipulating Parties agree that neither this Joint Stipulation nor any provision hereof shall become effective unless and until the Commission has entered an order approving all terms and provisions as agreed by the Stipulating Parties and such order becomes final and non-appealable.

14. Requested Commission Findings

14.1. The Stipulating Parties respectfully request that the Commission find:

- (a) the Commission has jurisdiction over PSO and over the subject matter of this Cause;
- (b) approval of the large-load tariff framework and Rider SSS or successor self-supply rider is within the Commission's constitutional and statutory authority;
- (c) the large-load tariff framework described herein is fair, just, reasonable, and in the public interest;

(d) the large-load tariff framework is consistent with HB 2992's cost-causation and customer-protection requirements;

(e) the true-up, CIAC, minimum-charge, collateral, and exit-fee provisions are designed to prevent cost shifts to residential, commercial, industrial, and any other rate class;

(f) the 75 MW applicability threshold is reasonable for the large-load tariff framework adopted herein;

(g) Option 1, Option 2, and Option 3 provide lawful, cost-based tariffed service options for eligible large-load customers; and

(h) this Joint Stipulation should be approved in its entirety.

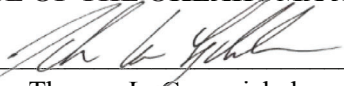
WHEREFORE, the Stipulating Parties hereby submit this Joint Stipulation and Settlement Agreement to the Commission as their negotiated settlement of the issues identified herein and respectfully request the Commission to issue an order approving this Joint Stipulation and Settlement Agreement.

Signature Blocks

PUBLIC SERVICE COMPANY OF OKLAHOMA

By: _____
 Name: _____
 Title/Counsel: _____
 Date: _____

OFFICE OF THE OKLAHOMA ATTORNEY GENERAL

By:  _____
 Name: Thomas L. Grossnickalus
 Title/Counsel: Deputy Attorney General
 Date: 06/26/2026

GOOGLE, LLC

By:  _____
 Name: Jim Roth
 Title/Counsel: Attorney
 Date: 06/26/26

PUBLIC UTILITY DIVISION, OKLAHOMA CORPORATION COMMISSION

By:  _____
 Name: Fairo Mitchell
 Title/Counsel: PUD Director
 Date: 06/26/2026

OKLAHOMA INDUSTRIAL ENERGY CONSUMERS

By: _____
 Name: _____
 Title/Counsel: _____
 Date: _____

WALMART INC.

By: _____

Name: _____

Title/Counsel: _____

Date: _____

**UNITED STATES DEPARTMENT OF DEFENSE AND ALL OTHER FEDERAL
EXECUTIVE AGENCIES**

By: _____

Name: _____

Title/Counsel: _____

Date: _____

DATA CENTER COALITION

By: _____

Name: _____

Title/Counsel: _____

Date: _____

AARP

By: _____

Name: _____

Title/Counsel: _____

Date: _____

THE PETROLEUM ALLIANCE OF OKLAHOMA

By: _____

Name: _____

Title/Counsel: _____

Date: _____